

THE BIG PICTURE

Borrowing Cost

Fear Index

Mid-Term Rates

Gold (Safety)

Cash Rate

WHERE THE SMART MONEY IS GOING

CONS. 0.12

UTILI 0.15

ENERG 0.18

FINAN 0.61

REAL 0.61

HEALT 1.69

COMM. 1.77

CONS. 2.67

MATER 3.16

TECHN 3.41

INDUS 9.21

1 NEE BUY \$88.78 +1.53% 7/10

Largest US renewable utility riding the AI data center power surge, wi

2 TEM HOLD \$59.49 -1.99% 6/10

AI-powered precision oncology play riding federal healthcare data spen

3 BE HOLD \$264.17 -10.47% 6/10

Fuel cell maker riding the AI datacenter power crunch — utilities can'

Big options bets on AAPL (Technology) — 61.6x normal volume, P/C 1.18, largest: PUT \$312 (13.2x OI)

No unusual behind-the-scenes trading to flag

No Congress members buying or selling stocks this week

EARNINGS COMING UP

No major earnings this week

FED & ECONOMY TODAY

JOLTS

Date: 2026-07-07

MEDIUM

VIX at 16.4 — low. Options m arket complacent ahead of sc heduled events.

JOLTS [MEDIUM]

Treasury Auction (10Y/30 [MEDIUM]

SHORTS GETTING SQUEEZED?

TEM

Bets against it: 38.4% of shares

MORE shorts piling in

Squeeze pressure: 5.4 days

BBAI — 29.0% SI, increasing

RGTI — 17.9% SI, increasing

ARE BIG INSTITUTIONS NERVOUS?

BUYING PROTECTION

Junk bonds: calm · Safe bonds: normal · borrowing getting pricier (stress)

WHERE MONEY IS ROTATING

YOUR WATCHLIST — HOW WE FEEL ABOUT EACH

1.	VST	Vistra Corp.	8.16/100
Vistra is a premier play on the AI-driven power demand surge, wit			
2.	HIMS	Hims & Hers Health, Inc.	8.16/100
HIMS is executing a direct-to-consumer telehealth playbook with e			
3.	IBM	International Business Machine	7.86/100
IBM offers the most de-risked exposure to quantum computing via i			

DEEP DIVES — FULL REPORTS START ON PAGE 3

Pages 3–4	NEE	— NextEra Energy, Inc.	Buy	Conviction 7/10
Pages 5–6	TEM	— Tempus AI, Inc.	Hold	Conviction 6/10
Pages 7–8	BE	— BE	Hold	Conviction 6/10
Pages 9–10	RGTI	— Rigetti Computing, Inc.	Hold	Conviction 5/10
Pages 11–12	BBAI	— BigBear.ai Holdings, Inc.	Hold	Conviction 5/10
Pages 13–14	FRVO	— FRVO	Hold	Conviction 5/10
Pages 15–16	ACLS	— ACLS	Hold	Conviction 5/10
Pages 17–18	CRNC	— CRNC	Hold	Conviction 4/10

Tempus AI, Inc.
TEM NASDAQ

Hold \$59.49 ▼ 1.99% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32 Market Cap \$10.68B

TEM: CEO Selling Clouds Otherwise Strong AI Oncology Story

WHAT HAPPENED

- Stock dipped 2% on light volume (1.7M vs recent 5M+ avg) — that's a "nothing happening, just drift" move, not real selling pressure. The bigger overhang is last week's CEO Lefkofsky dumping ~\$1.37M across four transactions on June 29 — insider selling into strength always makes people nervous, especially when the "AI as physician" narrative is what's holding the multiple up.
- Company launched a "next-gen agentic AI platform" for oncology research — this is meaningful because "agentic" (AI that acts on its own, not just chatbots) is where the real value in healthcare AI lives. Market barely reacted, which tells me the good news is already priced in around \$60.

WHY IT MATTERS

Here's what I'm reading between the lines: TEM has all the ingredients of a monster story — 40%+ revenue growth, real AI moats in oncology data, and Medicare expanding coverage for genomic testing under recent CMS rules. But the CEO cluster-selling right after a 19% pop tells you insiders think fair value is closer to \$55 than \$75. The bullish options flow (put/call at 0.43, meaning traders are buying 2-3x more upside bets than downside protection) says fast money still wants exposure, but they're buying weeklies — that's rental behavior, not conviction. Net-net: this is a "great company, tricky stock" setup where you want to own it, but not chase it here.

POLICY & POLITICAL WATCH

The biggest tailwind nobody's talking loudly about: CMS (Medicare's payment agency) has been steadily expanding reimbursement for AI-assisted diagnostics and next-gen sequencing under the 2025-2026 Physician Fee Schedule updates — that directly pays TEM for its Tempus xT and xR tests. On the other side, the FDA's evolving framework for AI/ML medical devices (the "Predetermined Change Control Plan" rules finalized late 2025) creates a moat for TEM since they're already compliant, but any Congressional pushback on AI in healthcare — and there's rumbling from both parties about "algorithmic bias in clinical decisions" — could slow adoption. Watch the FY2027 HHS budget markup this fall; precision medicine funding is a bipartisan darling but not immune to broader spending cuts.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$59.49
12M Price Target	\$68.00
Upside / (Downside)	+14.3%
Market Cap	\$10.68B
FY2026E Revenue	\$850M
FY2027E Revenue	\$1,150M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$60.00	\$52.00
6 Months	\$80.00	\$65.00	\$45.00
1 Year	\$95.00	\$68.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.78% today, +2.55% over 5 days) is quietly one of the best sectors right now — money is rotating in as investors expect Fed cuts to help long-duration growth names, and healthcare AI is the specific pocket getting attention. Energy and Utilities also popping on AI power-demand narrative.

COOLING OFF: Nothing screaming "sell" in the sector data provided, but note that pure-play speculative biotech has been lagging — investors want AI-plus-healthcare, not just biotech.

ROTATION WATCH: Money is moving from mega-cap AI (already priced) into the "AI applied to" sectors — healthcare, energy, industrials. TEM sits right in the sweet spot of that rotation.

RELATED PLAY: If you like TEM's thesis but want less volatility, look at the data/infrastructure side — Veeva Systems (VEEV) or even the diagnostics majors like Danaher (DHR) benefit from the same precision medicine tailwind with actual profits.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI drug discovery peer riding the same "AI in healthcare" narrative, though more speculative than TEM
- GH (Guardant Health): Liquid biopsy competitor — if oncology testing volumes keep rising with expanded Medicare coverage, both TEM and GH benefit

TEM CONTEXT: TEM is roughly middle-of-pack in its peer group — not the best performer (that's been the profitable diagnostics names), but not the worst (speculative AI biotech). Sitting at 28% of its 52-week range suggests the stock has more room to run than fall if the fundamentals hold up, but it needs a clean quarter to break out.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$50-55 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth drops below 30% or major insider exit

Hedging: Pair with short position in richly-valued unprofitable AI healthcare peer

CRNC
CRNC N/A

Hold	\$10.34 ▼ 5.83%	12M Price Target \$12.00	52-Week Range \$5.85 – \$13.74	Market Cap \$467M
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CRNC: Voice AI Play Stuck Between Auto Cycle and AI Hype

WHAT HAPPENED

- CRNC dropped ~6% on light volume (195K shares vs. 500K+ recent average) — that's a "no buyers showed up" tape, not a "sellers panicked" tape. When a small-cap drifts down on thin volume, it usually means holders are quietly stepping away rather than any single piece of bad news.
- Nothing new in the news feed — the freshest headline is the May Q2 earnings miss and the BYD LLM partnership expansion. The market's still digesting whether the BYD deal is real revenue or a press release, and the silence isn't helping.

WHY IT MATTERS

Here's the tell: every sector on the leaderboard today is DEFENSIVE (Utilities, Staples, Healthcare, Real Estate) or Energy — meaning money is rotating OUT of speculative tech and INTO safety. CRNC is exactly the kind of unprofitable, small-cap, story-stock that gets sold first when risk appetite fades, which is why it's down 6% on a day the broader market is holding up fine. The BYD partnership is genuinely interesting because Chinese EV makers are the fastest-growing auto segment globally and they need voice AI badly, but investors are (rightly) waiting to see it show up in the revenue line before paying up. The bigger story: CRNC is essentially a bet that legacy automakers keep licensing their voice tech WHILE they build out LLM-based products fast enough to matter — and they're doing this with negative EPS, meaning every quarter of missed execution burns real cash.

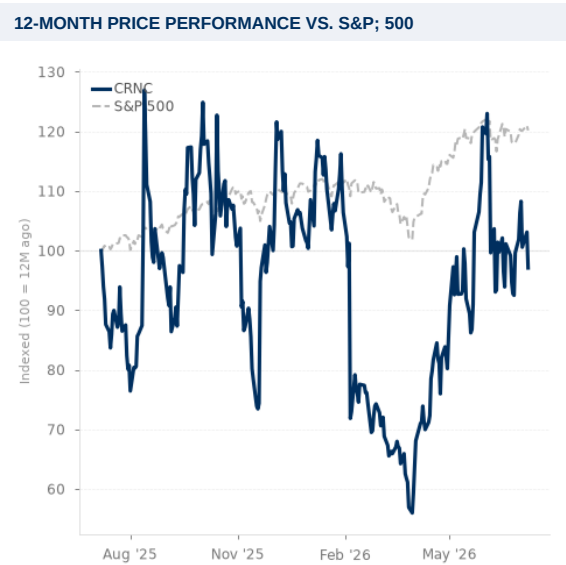
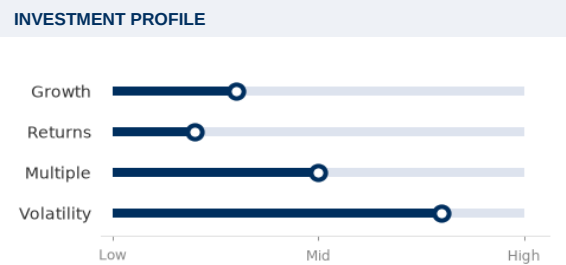
POLICY & POLITICAL WATCH

Two policy angles matter here. First, US-China auto/tech tensions: CRNC just expanded with BYD, which is a Chinese EV giant — if the administration tightens tech export controls on AI models going to Chinese automakers (which has been floated repeatedly), that partnership could get complicated fast. Second, the auto tariff environment: broad tariffs on imported vehicles and parts squeeze automaker margins, and when automakers get squeezed, the first thing they cut is optional software licensing fees — which is literally CRNC's business model. Watch any headlines about Section 232 auto tariffs or EV-specific trade restrictions.

IS IT EXPENSIVE?

At \$467M market cap on ~\$236M of revenue, you're paying about \$2 for every \$1 of sales — which sounds cheap versus SoundHound (SOUN) trading at 20x+ revenue, but there's a reason. CRNC's revenue is FLAT to declining, they're losing money, and their growth story depends on auto OEMs (car makers) that are themselves under pressure. So "cheap" here is the market saying "prove you can grow again" — not a bargain, more like a fair price for a show-me story.

Key Data	
Price (USD)	\$10.34
12M Price Target	\$12.00
Upside / (Downside)	+16.1%
Market Cap	\$467M
FY2026E Revenue	\$236M
FY2027E Revenue	\$248M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$10.50	\$8.50
6 Months	\$15.00	\$11.00	\$7.50
1 Year	\$18.00	\$12.00	\$6.00
2 Years	\$22.00	\$14.00	\$5.00
5 Years	\$30.00	\$16.00	\$4.00
10 Years	\$45.00	\$20.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%), Utilities, Healthcare, Staples — this is a classic defensive rotation, meaning investors are getting nervous about growth stocks. Real Estate popping suggests rate-cut expectations are back on the table.

COOLING OFF: Speculative tech and small-cap AI names — you can see it in CRNC's action today. When Comm Services is up 1.2% but a small AI name is down 6%, that's the mega-caps holding up the index while the little guys get sold.

ROTATION WATCH: Money is moving from "story stocks" to "cash flow stocks" — that's a headwind for CRNC until they prove they can generate real profit. The tell will be when small-cap tech (Russell 2000) starts outperforming again.

RELATED PLAY: If you want the voice-AI theme without the auto exposure, SoundHound (SOUN) is the higher-beta version — more risk, more upside, but crazier valuation. If you want the auto-tech theme without the profitability risk, Mobileye (MBLY) is the safer cousin.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): Winning the AI voice narrative war — investors are paying up for the growth story even though CRNC has more revenue. Perception > fundamentals right now.
- MBLY (Mobileye): Auto-tech peer with actual scale and clearer path to profitability — takes institutional money that might otherwise go to CRNC.

CRNC CONTEXT: CRNC is LAGGING its peer group badly on narrative even though it has more real revenue than SOUN. That gap either closes (CRNC re-rates higher) or persists (CRNC gets acquired at some point). Institutions still own 81% which is a floor — they're not dumping, but they're not adding either.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

Position Size: 1-2% of portfolio, speculative sleeve only

Entry Points: \$8-9 on pullbacks, not chasing here

Time Horizon: 12-18 months (needs a catalyst)

Thesis Invalidation: Another earnings miss, BYD deal underdelivers, or cash burn accelerates forcing dilution

Hedging: Pair with a long SOUN position or short auto supplier ETF to isolate the AI thesis

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$16.48 ▼ 8.27%

12M Price Target
\$22.00

52-Week Range
\$12.08 – \$58.15

Market Cap
\$5.48B

RGTI: Quantum Hype Cooling, Insiders Selling Into Strength

WHAT HAPPENED

- RGTI dropped 8.3% on lighter volume — this looks like continuation of a slow bleed since June 30, not a panic. The Quantinuum IPO rally and the 24/7 Wall St "don't take the bait" article suggest the whole quantum space is getting a reality check — new supply (Quantinuum going public) means investors have more places to spread their quantum bets, which dilutes flows into RGTI.
- Director Ray Johnson dumped ~\$4.3M in stock over June — that's a big deal because insiders selling into a hype cycle is usually smart money telling you the current price is generous.

WHY IT MATTERS

Here's what I think is really happening: RGTI is trading at \$5.5B market cap on maybe \$15-20M in revenue — that's roughly 300x sales (investors paying \$300 for every \$1 the company earns in a year), which only makes sense if you believe quantum goes commercial soon. The stock is at 10% of its 52-week range, meaning it's given back almost all the frothy 2025 gains — that tells you the "quantum is here NOW" narrative is being repriced toward "quantum is here eventually." The Quantinuum IPO matters more than people realize: it gives institutional buyers a bigger, better-funded alternative (Honeywell-backed), which structurally caps RGTI's multiple. That said, the federal science funding backdrop is still supportive, so this isn't a zero — it's just no longer a "back up the truck" setup.

POLICY & POLITICAL WATCH

The big one to watch is the National Quantum Initiative Act reauthorization — the original NQIA expired and Congress has been dragging on renewing it, with proposals floating around \$2.5-3B in new federal quantum R&D funding over 5 years. If it passes with strong funding, RGTI is a direct beneficiary because they already have DARPA and Air Force contracts. Also watch export controls on quantum tech to China — the Commerce Department has been tightening these, which is a double-edged sword: it protects RGTI's IP but also caps their addressable market. The CHIPS Act extension talks in the Senate also indirectly help quantum since some funding buckets overlap.

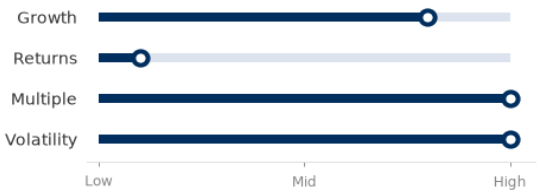
IS IT EXPENSIVE?

This stock is expensive by any normal measure — you're paying roughly \$300 for every \$1 of current revenue, versus maybe \$20-30 for a typical high-growth software name. The bull case says "revenue will 10x fast" but even at 2027 estimates you're still paying ~170x sales. The only way this valuation works is if you believe fault-tolerant quantum computing arrives by 2028-2029 and RGTI is one of the winners — that's a real possibility, but it's a bet, not a valuation.

Key Data

Price (USD)	\$16.48
12M Price Target	\$22.00
Upside / (Downside)	+33.5%
Market Cap	\$5.48B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$22.00	\$17.00	\$13.00
6 Months	\$30.00	\$20.00	\$11.00
1 Year	\$40.00	\$22.00	\$9.00
2 Years	\$60.00	\$28.00	\$7.00
5 Years	\$120.00	\$45.00	\$5.00
10 Years	\$250.00	\$70.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy, Utilities, and Healthcare are leading today — that's a classic defensive rotation, which tells you money is getting nervous about high-multiple tech (bad for RGTI). Utilities specifically are riding the AI-power-demand narrative plus regulated rate hikes.

COOLING OFF: Speculative tech and quantum names are getting sold — the Quantinuum IPO absorbed a lot of the "quantum allocation" dollars that were sitting in RGTI and IONQ.

ROTATION WATCH: Money is moving from story stocks into cash-flowing defensives — that's a headwind for anything trading on 2028 promises rather than 2026 earnings. Watch the 10-year yield: if it drops, speculative names like RGTI catch a bid.

RELATED PLAY: If you want quantum exposure with less binary risk, the picks-and-shovels play is cryogenics and specialty equipment suppliers (like Bluefors' potential IPO, or FormFactor which supplies quantum test equipment) — they win regardless of which quantum architecture wins.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave): Different quantum architecture (annealing) with actual commercial revenue — the market is starting to reward proven use cases over pure research
- QUBT (Quantum Computing Inc): Photonics angle has been getting attention as a lower-cost path

RGTI CONTEXT: RGTI is lagging the quantum peer group over the last month — it's giving back gains faster than QBTS, which tells me the market views RGTI as more of a "science project" and less of a "near-term revenue story." That's a warning sign — when your peers are holding up better, it usually means fundamentals-focused money is exiting your name first.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm cautiously interested but not pounding the table; the tech is real but the valuation and insider selling say wait.

POSITION SIZE: 1-2% max, treated as a lottery ticket — the range of outcomes is so wide (could be \$5 or \$50) that sizing small is the only sane approach.

ENTRY POINTS: I'd wait for \$12-14 — that's near the 52-week low where forced sellers get flushed out and the risk/reward tilts back your way.

TIME HORIZON: 18-36 months, waiting for either NQIA reauthorization to pass or a commercial revenue inflection — this isn't a next-quarter trade.

WHEN TO BAIL: If they announce a dilutive capital raise at a lower price, or if a competitor hits a clear commercial milestone first, cut it — the thesis is broken.

HEDGING: Simplest protection is just position sizing (small). If you own a bigger stake, buy out-of-the-money puts 3-6 months out — think of it as insurance that costs you a small premium but caps your downside if quantum sentiment cracks.

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.46 ▼ 3.35%	12M Price Target \$5.00	52-Week Range \$3.01 – \$9.39	Market Cap \$1.66B
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BBAI: Drifting Near 52-Week Lows Despite Bullish Options Flow

WHAT HAPPENED

- BBAI slid another 3.35% on notably light volume (~10M vs. the usual 25M+) — that's not panic selling, that's apathy. When volume dries up near 52-week lows, it usually means sellers are exhausted but no one's stepping in to buy either.
- Options flow tells a different story though — call buyers are outpacing puts more than 4-to-1, and someone loaded up on cheap \$1.50 July calls (6x the normal open interest). Somebody's betting on a bounce, but those are lottery tickets, not conviction trades.

WHY IT MATTERS

Here's what I think is really going on: BBAI is stuck in "prove it" purgatory. The stock has round-tripped from \$9+ back to \$3, meaning the AI hype trade is fully out and now the company has to show actual revenue conversion from its government pipeline (DHS, Army, DoD). The insider transactions on 6/30 look like tax-related share withholdings, not open-market selling — so don't read that as a bearish signal. The real question: with the Trump administration's border security and defense buildout in full swing, why isn't BBAI capturing more of that spend? Either the contracts are coming (and this is a coiled spring) or competitors like Palantir are eating their lunch (and this keeps drifting lower).

POLICY & POLITICAL WATCH

BBAI's whole thesis rides on federal spending — specifically the FY2026 defense appropriations and DHS budget, both of which are getting boosted under the current administration's border/national security priorities. The "One Big Beautiful Bill" that passed last year included expanded ICE and CBP funding, and BBAI's facial recognition and biometric tech (via their Pangiam acquisition) is directly in that lane. Watch for any DHS contract announcements over the next 90 days — that's the catalyst. Headwind to watch: if Congress starts scrutinizing AI-driven surveillance under civil liberties concerns, BBAI's biometrics business gets political.

IS IT EXPENSIVE?

At \$1.66B market cap on maybe \$210M of 2026 revenue, you're paying about \$8 for every \$1 of sales — not cheap for a company still losing money, but way below Palantir's ~50x multiple. The market is basically saying "we don't believe the growth story yet." If they hit 30%+ growth and narrow losses, this re-rates fast; if growth stalls at 15%, it's actually still expensive.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$3.46
12M Price Target	\$5.00
Upside / (Downside)	+44.5%
Market Cap	\$1.66B
FY2026E Revenue	\$210M
FY2027E Revenue	\$275M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.20	\$3.60	\$3.00
6 Months	\$5.50	\$4.00	\$2.75
1 Year	\$7.50	\$5.00	\$2.50
2 Years	\$10.00	\$6.50	\$2.00
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$12.00	\$1.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy, Utilities, and Healthcare are catching bids today — classic defensive rotation, suggesting investors are getting cautious about growth/tech names. Comm Services strong on the 5-day tells me mega-cap tech is still working, but small-cap AI (where BBAI lives) is being left behind.

COOLING OFF: Speculative small-cap AI is clearly out of favor — the "any AI ticker goes up" trade is dead. Money wants profitability now.

ROTATION WATCH: Capital is moving toward defensives and cash-flow generators, away from story stocks. That's a headwind for BBAI until it can show real earnings leverage.

RELATED PLAY: If you like the federal AI thesis but want lower risk, LDOS (Leidos) and BAH (Booz Allen) are the "picks and shovels" version — profitable government contractors that benefit from the same spending wave without the small-cap volatility.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): Still the gold standard for gov't AI — profitable, growing 30%+, and winning the contracts BBAI wants.
- LDOS (Leidos): Boring but working — steady federal IT spend beneficiary with actual earnings.

BBAI CONTEXT: BBAI is dead last in its peer group over the past 6 months — down ~60% from highs while PLTR is near records. That divergence tells you the market is picking winners in gov-AI, and right now BBAI isn't one of them. Either it catches up (mean reversion trade) or the gap keeps widening (value trap).

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm cautiously watching, not pounding the table. The setup is interesting (options flow bullish, near 52-week low, real federal tailwinds) but execution has been mediocre.

POSITION SIZE: Keep this to 1-2% of portfolio max — this is a speculative name, not a core holding. The binary outcomes (rockets on a contract win, craters on dilution) mean you size it like a venture bet.

ENTRY POINTS: I'd rather buy weakness at \$3.00-3.20 than chase strength here. If it breaks \$3, wait to see if it holds — a fresh 52-week low without a bounce is a red flag.

TIME HORIZON: 12-18 months, and the catalyst I'm waiting for is a major DHS or DoD contract announcement plus a Q2 print showing >25% revenue growth.

WHEN TO BAIL: If they announce an equity raise, if a key contract doesn't renew, or if revenue growth drops below 15% — any of those and I'm out, no questions.

HEDGING: Simplest hedge is just to keep the position small. If you want to get fancy, pair it with a long position in PLTR or LDOS — if the whole gov-AI thesis works, they both win; if BBAI specifically stumbles, the bigger names cushion the blow.

NextEra Energy, Inc.

NEE NYSE

Buy **\$88.78 ▲ 1.53%** 12M Price Target **\$105.00** 52-Week Range **\$69.24 – \$98.75** Market Cap **\$185.15B**

NEE: AI Data Center Power Demand Meets Dividend Reliability

WHAT HAPPENED

- NEE up 1.5% today to \$88.78, riding a broad utility rally (+1.79% sector-wide) — this is the "AI data centers need INSANE amounts of power" trade playing out. 24/7 Wall St. literally called it a "1970s-scale power buildout" this morning, and NEE is the biggest pure-play beneficiary because they're the largest renewable developer in the country.
- Volume is unusually LIGHT today (2.2M vs typical 10-15M) — that tells me this isn't panic buying or a news-driven spike, it's just steady institutional accumulation on a slow summer day. Less conviction signal, more grind-higher tape.

WHY IT MATTERS

Here's the real story: hyperscalers (Amazon, Microsoft, Google, Meta) are signing long-duration power purchase agreements — meaning multi-decade contracts to buy electricity — because AI data centers use 5-10x the power of regular ones. NEE has the biggest renewable development pipeline in America, so they're basically the landlord for the AI boom's electricity needs. BUT — and this is critical — the put/call ratio is 2.15 (way more bearish bets than bullish ones), with someone loading up on \$93 puts expiring this month. That suggests smart money is hedging near-term downside even as the long-term story is intact — probably worried about the Trump admin's stance on renewable subsidies in the upcoming budget cycle.

POLICY & POLITICAL WATCH

The elephant in the room: the Inflation Reduction Act's renewable tax credits (specifically the Production Tax Credit and Investment Tax Credit) are under active attack in Congress — the Trump admin has been chipping away at them through Treasury guidance and executive orders since 2025. If these credits get fully repealed or phased out faster, NEE's return-on-investment math on new wind/solar projects gets uglier fast. Counterweight: the AI power crisis is so severe that even Republican lawmakers in data-center-heavy states (Texas, Virginia, Georgia) are quietly protecting renewables because gas plants take 4+ years to build and can't meet demand. Watch the FY2027 budget reconciliation talks this fall — that's the next big pivot point.

IS IT EXPENSIVE?

At \$88.78, NEE trades at roughly 23x forward earnings — meaning you're paying \$23 for every \$1 of profit expected next year. That's a premium to boring regulated utilities (typically 16-18x) but a discount to pure AI infrastructure names. The premium is justified IF you believe the AI power thesis; it's expensive if you think renewable credits die and growth slows to typical utility 5-7% rates.

Key Data

Price (USD)	\$88.78
12M Price Target	\$105.00
Upside / (Downside)	+18.3%
Market Cap	\$185.15B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$90.00	\$84.00
6 Months	\$102.00	\$94.00	\$80.00
1 Year	\$115.00	\$105.00	\$78.00
2 Years	\$135.00	\$118.00	\$72.00
5 Years	\$180.00	\$145.00	\$65.00
10 Years	\$250.00	\$190.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy both ripping today (+1.79% and +2.04%) — this is the "power scarcity" trade. AI needs electrons and nobody can build fast enough. Healthcare also strong on defensive rotation.

COOLING OFF: Nothing screaming weakness today, but Communications Services' 5-day strength (+3.40%) is slowing — mega-cap tech may be consolidating after a run.

ROTATION WATCH: Money is rotating INTO real assets (utilities, energy, real estate all green) and OUT of pure growth. This is classic late-cycle behavior plus the AI-power narrative converging.

RELATED PLAY: If NEE's thesis works, the picks-and-shovels plays are grid equipment makers (GEV — GE Vernova, ETN — Eaton) and independent power producers (VST, CEG). Constellation Energy (CEG) is the pure-play nuclear version of this same trade.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear baseload power is the ultimate AI data center match — running hot on every hyperscaler deal
- VST (Vistra): Texas power producer with massive AI data center demand exposure, one of 2025-26's biggest utility winners

NEE CONTEXT: NEE is actually LAGGING the pure-play IPPs (independent power producers) because it's half-regulated utility (slower growth, but safer). It's the "sleep at night" way to play this theme — you get 60% of the upside with 30% of the volatility, plus a ~3% dividend that grows every year.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong long-term setup, but near-term policy uncertainty and elevated put buying suggests patience over aggression.

POSITION SIZE: 3-5% of portfolio — this is a core holding for income+growth, not a swing-for-the-fences bet. The regulated utility base means you're not going to lose 50% in a quarter.

ENTRY POINTS: Add on pullbacks to \$84-87. If we get a broader market flush and this touches \$80, back up the truck — that's a fat pitch.

TIME HORIZON: 12-24 months. Catalyst you're waiting for: clarity on tax credits in the fall 2026 budget fight, plus continued hyperscaler PPA announcements.

WHEN TO BAIL: If renewable tax credits get fully repealed with no replacement, or if FPL loses a Florida rate case (their regulator has been friendly, but that could change), reassess. Also bail if the dividend growth rate drops below 8%.

HEDGING: Simple version — own some natural gas exposure (a gas producer ETF like FCG) alongside this. If renewables get politically hammered, gas benefits. It's a natural offset without needing to touch options.

FRVO

FRVO N/A

Hold	\$23.78 ▼ 14.72%	12M Price Target \$32.00	52-Week Range \$23.10 – \$42.65	Market Cap \$7.01B
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FRVO: Geothermal Darling Cracks 52-Week Low on AI Cooling

WHAT HAPPENED

- FRVO just tanked 14.7% to a fresh 52-week low on lighter volume than the selloff days before — that's actually a bad sign. It means holders are capitulating and buyers aren't stepping in even at the lows. The stock is now at 3% of its 52-week range, meaning it's trading near the absolute bottom of where it's traded all year.
- No fresh news catalyst overnight and no SEC filings — so this is technical/sentiment-driven. My read: the Barron's piece pushing OpenAI/Anthropic to IPO "while the iron is hot" signals that private AI capital is looking for the exit, which pressures publicly-traded AI-adjacent names like FRVO (geothermal power for data centers) as investors rotate.

WHY IT MATTERS

This looks like an AI-adjacent unwind, not a company-specific blowup — FRVO's Nvidia/PNNL partnership from June and the on-track Utah geothermal ramp (33 MW coming online) are both bullish datapoints that the market is ignoring. When a stock ignores good news and drops on no news, it usually means positioning was too crowded and momentum funds are puking. The bigger picture: FRVO is a 2028-2030 story (Cape Station scales to 400 MW) being priced daily like a tech stock, so any wobble in the AI-power narrative gets amplified 3x here. Watch for a washout bottom in the low \$20s where long-term energy transition money (not momentum money) starts accumulating.

POLICY & POLITICAL WATCH

The critical policy variable for FRVO is the Inflation Reduction Act's geothermal tax credits (Section 45Y and 48E production/investment tax credits) — these are worth billions to Fervo's project economics, and any Republican reconciliation effort to claw them back is an existential threat. So far geothermal has been the "bipartisan darling" of clean energy (red states like Utah and Nevada love it because it's baseload power and creates drilling jobs), which is why it's survived the broader IRA rollback debates. Also watch the FERC transmission rule (Order 1920) and DOE loan guarantees — Fervo has been a beneficiary of both, and any slowdown in federal permitting for geothermal wells would push their timeline right.

IS IT EXPENSIVE?

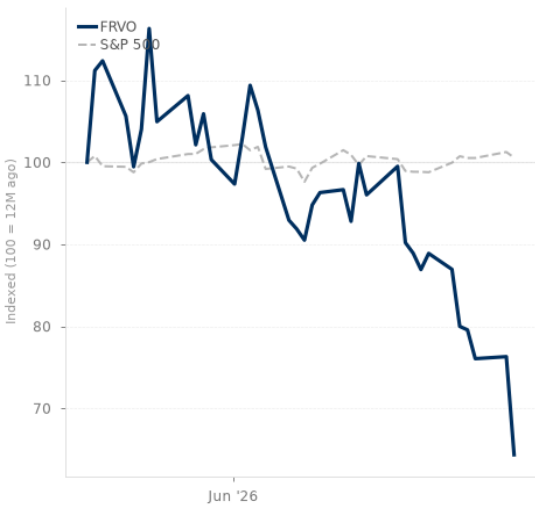
Key Data

Price (USD)	\$23.78
12M Price Target	\$32.00
Upside / (Downside)	+34.6%
Market Cap	\$7.01B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$28.00	\$25.00	\$20.00
6 Months	\$38.00	\$30.00	\$18.00
1 Year	\$48.00	\$32.00	\$15.00
2 Years	\$65.00	\$42.00	\$12.00
5 Years	\$120.00	\$70.00	\$10.00
10 Years	\$250.00	\$130.00	\$8.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Traditional Energy (+2.04%) and Utilities (+1.79%) — money is rotating to boring, cash-flowing power names as the "AI needs electrons" trade matures. Investors want the picks and shovels, not the story stocks.

COOLING OFF: Speculative AI-adjacent names and pre-revenue clean tech — the market is separating "AI winners with real earnings" from "AI winners in the future" and FRVO is stuck in the second bucket.

ROTATION WATCH: Capital is moving from AI hopefuls into profitable nuclear (VST, CEG) and natural gas plays — same thesis (power the AI boom), better balance sheets. That's directly bleeding FRVO.

RELATED PLAY: If you like the geothermal thesis but want less binary risk, Ormat (ORA) is the profitable incumbent — boring, but it actually makes money doing what Fervo promises to do at scale.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet powering data centers — profitable, and the market is paying up for proven megawatts vs. promised ones
- CEG (Constellation Energy): The Microsoft Three Mile Island deal set the template — utilities with existing nuclear are the safest AI-power play

FRVO CONTEXT: FRVO is badly lagging its "AI power" peer group — Vistra and Constellation are near highs while FRVO hits lows. This tells you the market is done paying premium multiples for promises; it wants delivered megawatts. FRVO needs a concrete PPA announcement to rejoin the party.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I like the long-term geothermal-for-AI thesis but the chart is broken and there's no reason to be a hero catching this knife today.

POSITION SIZE: 1-2% max — this is a speculative, pre-profit name with real technology risk. Size it like a venture bet, not a core holding.

ENTRY POINTS: I'd rather buy \$20-22 on a full capitulation flush, or wait for the stock to reclaim \$27 with volume (proves buyers are back). Buying today at \$23.78 is just guessing.

TIME HORIZON: 18-36 months — you're waiting for Cape Station 400 MW milestones and hyperscaler contract announcements. This isn't a trade, it's a project financing bet.

WHEN TO BAIL: Utah project delays announced, dilutive equity raise below \$25, or IRA geothermal credits get repealed in a budget deal — any of those, I'm gone.

HEDGING: Own a profitable power name like VST or CEG alongside — if the AI-power trade works, you win on both; if FRVO stumbles specifically, the winners cushion the blow.

BE
BE N/A

Hold	\$264.17 ▼ 10.47%	12M Price Target \$310.00	52-Week Range \$23.94 – \$351.28	Market Cap \$75.14B
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BE: Profit-Taking After Massive Run, Brookfield Deal Expands

WHAT HAPPENED

- BE got smoked -10.5% today despite what should've been GREAT news: the Brookfield partnership expanded to \$25 billion for AI infrastructure power. When a stock drops on good news, it usually means "sell the news" — traders who rode this up from \$24 to \$351 are cashing in chips. The stock is still up ~10x from its 52-week low, so people are locking in gains.
- Volume was noticeably lighter today (5.1M vs 14M+ earlier this week) — that tells me this isn't panicked institutional dumping, it's more of a controlled profit-take. But the put/call ratio at 1.99 (nearly 2 puts for every call) means options traders are hedging or betting on more downside near-term.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The critical policy tailwind: fuel cells kept their Investment Tax Credit under the 2025 reconciliation bill while solar/wind credits were slashed — that's a HUGE relative advantage and directly explains BE's outperformance. Watch two things: (1) any Treasury guidance on "foreign entity of concern" restrictions that could complicate BE's supply chain, and (2) the FERC interconnection reform debate — if grid connection timelines stay 4-7 years, BE's "power in 90 days" pitch to datacenters keeps winning. Also monitor natural gas policy — BE's fuel cells run on gas, so any Biden-era methane rules being rolled back under Trump is a quiet positive.

IS IT EXPENSIVE?

This is expensive by any traditional measure — market cap of \$75B on ~\$2B of revenue means investors are paying \$35+ for every \$1 of sales, and the company is barely profitable. For comparison, mature power equipment makers trade at 2-4x sales. The bull case: if AI datacenter power demand is a 10-year growth story and BE captures even 15-20% share of on-site generation, today's price looks reasonable in hindsight. But you're paying for perfection.

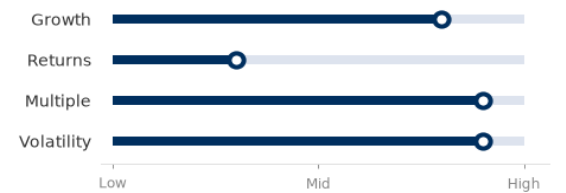
WHAT COULD GO WRONG

- AI capex digestion: if Microsoft, Meta, or Google signals a pause in datacenter buildout (which happened briefly in early 2025), BE gets crushed because it's now viewed as an "AI pick-and-shovel" stock
- Natural gas price spike: BE's economics depend on cheap gas — a cold winter or LNG export surge could compress margins and remind investors this is still a hardware business with mid-teens gross margins

Key Data

Price (USD)	\$264.17
12M Price Target	\$310.00
Upside / (Downside)	+17.3%
Market Cap	\$75.14B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.75
Fwd P/E	754.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$300.00	\$270.00	\$235.00
6 Months	\$360.00	\$300.00	\$210.00
1 Year	\$425.00	\$310.00	\$180.00
2 Years	\$550.00	\$380.00	\$150.00
5 Years	\$800.00	\$500.00	\$120.00
10 Years	\$1200.00	\$650.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.04%) and Utilities (+1.79%) are leading — the market is finally waking up to the fact that AI needs POWER, not just chips. This is a direct tailwind for BE's ecosystem.

COOLING OFF: High-beta AI names that ran hard in June are seeing rotation — money is moving from "AI story" stocks to "AI enablers" (power, cooling, infrastructure).

ROTATION WATCH: Capital is flowing into the "picks and shovels" of AI — power gen, transmission, datacenter REITs, and cooling. Trump's executive orders prioritizing US energy dominance and AI infrastructure are accelerating this rotation.

RELATED PLAY: If you like the AI power thesis but want less binary risk, look at Vistra (VST), Constellation (CEG), or GE Vernova (GEV) — they're picking up the same tailwind with real earnings and less froth than BE.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Riding the same AI power narrative with actual nuclear + gas generation and much cheaper valuation
- GEV (GE Vernova): Gas turbines are backordered through 2028 — they're selling every unit they can make to datacenter customers

BE CONTEXT: BE has been the LEADER of this trade (up 10x from lows), which is why today's pullback is sharper than peers. When a stock leads a theme, it also leads the profit-taking. If money keeps flowing into AI-power, BE stabilizes and re-accelerates. If the theme cools, BE falls hardest because it has the richest multiple.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the thesis but hate the entry price at \$264 after a 10x run; I'd rather wait for a real pullback than chase.

POSITION SIZE: Keep this at 2-4% max — the story is real but the volatility is brutal, and one bad quarter could mean a 30% drawdown.

ENTRY POINTS: I'd start scaling in around \$230-250 on macro fear days. If we get a real AI capex scare, \$180-200 becomes a fat pitch.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is BE proving the Brookfield deal is turning into actual revenue on the income statement, not just press releases.

WHEN TO BAIL: If a major hyperscaler announces on-site nuclear or a competing fuel cell tech at scale, or if BE misses revenue by more than 10% in any quarter, I'm cutting the position.

HEDGING: Easiest hedge — trim your position by 25-30% here at \$264 and let the rest ride. If you want to get fancy, buy some out-of-the-money put options (basically insurance that pays off if the stock drops) for the next earnings report.

ACLS

ACLS N/A

Hold	\$125.68 ▼ 10.21%	12M Price Target \$130.00	52-Week Range \$65.64 – \$193.78	Market Cap \$3.86B
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ACLS: Chip Equipment Selloff Hits After Massive Run

WHAT HAPPENED

- ACLS is down another 10% today and has now shed 34% in one week — from \$189 to \$126. That's not normal profit-taking; that's someone dumping. With no SEC filings and no company-specific news, this looks like a combination of (a) crowded trade unwinding after the stock DOUBLED YTD and (b) growing worry about new China chip equipment restrictions.
- Meanwhile, the market rotation today tells the story — money is flowing to Energy, Utilities, Real Estate, Healthcare (all defensive/rate-sensitive). Nobody's leading with Tech. When defensives lead, high-beta chip names get sold first.

WHY IT MATTERS

A 34% drop in a week with zero company-specific news is the market telling you something you don't know yet — usually that means either (a) a big fund is forced to liquidate, or (b) smart money is front-running a policy shock. ACLS is uniquely exposed to China because their ion implant tools go into mature-node and power semiconductor fabs, and China has been their biggest growth market. If Washington tightens export rules on mature-node equipment (which has been floated), ACLS gets hit harder than peers like Applied Materials because they're less diversified. The fact that options flow is still bullish (P/C ratio 0.45) tells me retail is buying the dip — but institutions only own 1.1% here which is bizarrely low and suggests the big money already left the party.

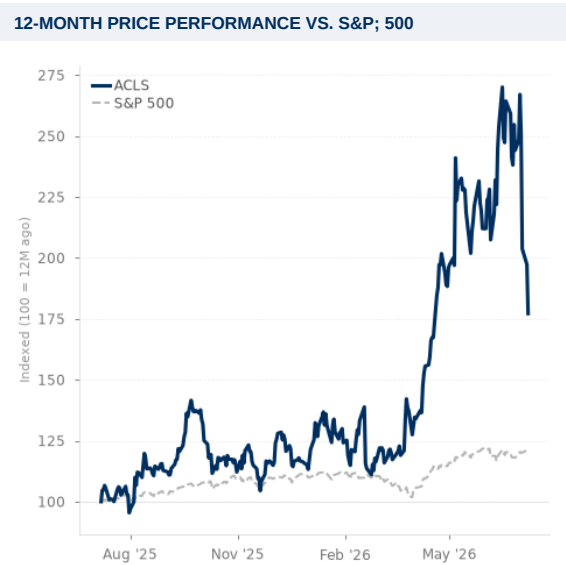
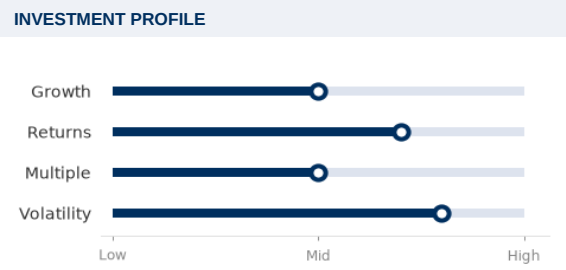
POLICY & POLITICAL WATCH

The critical thing to watch is the Commerce Department's ongoing review of mature-node semiconductor equipment export rules to China — this has been in the news cycle for months and any tightening directly hits ACLS's China revenue (historically 40-50% of sales). On the tailwind side, the CHIPS Act reauthorization discussions and continued domestic fab buildouts (Intel, TSMC Arizona, Samsung Texas) create long-term demand. But near-term, the China overhang is the whole story — if you hear "new export controls on ion implantation," this stock has more downside.

IS IT EXPENSIVE?

At \$126 with ~\$3.85B market cap and roughly \$730M expected revenue, you're paying about \$5 for every \$1 of sales — reasonable for a chip equipment maker, and cheaper than Applied Materials or Lam Research. Forward P/E around 32x means investors pay \$32 for every \$1 of expected earnings, which was expensive at \$190 but is now getting toward "fair." The problem: if China revenue drops 30%, those earnings estimates come down and suddenly it's not cheap anymore — it's a value trap.

Key Data	
Price (USD)	\$125.68
12M Price Target	\$130.00
Upside / (Downside)	+3.4%
Market Cap	\$3.86B
FY2026E Revenue	\$730M
FY2027E Revenue	\$850M
FY2026E EPS	\$3.85
FY2027E EPS	\$5.20
Fwd P/E	32.6x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$125.00	\$105.00
6 Months	\$175.00	\$140.00	\$95.00
1 Year	\$200.00	\$150.00	\$90.00
2 Years	\$240.00	\$170.00	\$85.00
5 Years	\$320.00	\$220.00	\$100.00
10 Years	\$500.00	\$300.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%), Utilities, Real Estate, Healthcare — this is textbook defensive rotation, often signaling rate-cut expectations or growth worries. Healthcare specifically is riding drug pricing clarity and Medicare Advantage tailwinds.

COOLING OFF: Semiconductors and high-beta tech aren't in the top movers — that's telling. After a huge YTD run, chip equipment is where profits get taken first when sentiment shifts.

ROTATION WATCH: Money is moving out of the "AI winners doubled YTD" bucket and into rate-sensitive defensives. That's a direct headwind for ACLS regardless of company fundamentals.

RELATED PLAY: If you want chip equipment exposure with less China risk, look at LRCX or KLAC — more diversified customer bases and better positioned if export controls tighten.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy leading today on supply concerns and defensive positioning
- LLY (Eli Lilly): Healthcare strength continues — GLP-1 story plus policy clarity

ACLS CONTEXT: ACLS is badly lagging — down 34% in a week while defensives rally means it's specifically being sold, not just caught in a market decline. That's a red flag suggesting sector-specific or company-specific worry, not just macro.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. Good long-term business, but a 34% selloff without news makes me want to see WHY before adding.

POSITION SIZE: 2-3% max here — the volatility is real, and if this is a policy story we haven't seen yet, there's another leg down.

ENTRY POINTS: I'd wait for stabilization — three green days in a row, or a bounce off \$110-115 with volume. Don't try to catch the knife.

TIME HORIZON: 12-18 months — you need time for China policy clarity and for the next earnings cycle to reset expectations.

WHEN TO BAIL: New China export controls on ion implant equipment announced, OR they cut FY26 guidance more than 15% on next earnings, OR the stock breaks \$100 on volume.

HEDGING: Simplest hedge — don't go full-size. If you want to own it, buy half now and half only after it stabilizes. Or pair it with a smaller short on a name that's more expensive and less loved.

The following stocks were identified by screening a curated universe against the current watchlist's investment themes, today's macro environment, and smart-money signals. Scores reflect theme alignment, momentum, valuation, and institutional flow. These are research leads — not investment advice.

1	VST	Vistra Corp. Clean Energy & Utilities	8.2/10	BUY	Price: \$154.94 · 1M: +5.6% · P/S: 2.7x · Cap: \$52.2B	OPT:BULL	INS:NEUT	INST:BULL	■ Add to watchlist via tickers.txt
2	HIMS	Hims & Hers Health, Inc. Healthcare AI & Biotech	8.2/10	BUY	Price: \$37.28 · 1M: +37.2% · P/S: 3.6x · Cap: \$8.6B	OPT:NEUT	INS:NEUT	INST:BULL	■ Monitor for pullback to \$52 entry
3	IBM	International Business Machines Corp. Quantum Computing	7.9/10	BUY	Price: \$306.58 · 1M: +9.2% · P/S: 4.2x · Cap: \$288.2B	OPT:BULL	INS:NEUT	INST:BULL	■ Add to watchlist via tickers.txt
4	VEEV	Veeva Systems Inc. Healthcare AI & Biotech	8.1/10	BUY	Price: \$193.80 · 1M: +15.9% · P/S: 9.5x · Cap: \$31.5B	OPT:BULL	INS:NEUT	INST:BULL	■ Add to watchlist via tickers.txt
5	NRG	NRG Energy, Inc. Clean Energy & Utilities	8.2/10	BUY	Price: \$138.85 · 1M: +8.7% · P/S: 0.9x · Cap: \$29.3B	OPT:BULL	INS:NEUT	INST:BULL	■ Add to watchlist via tickers.txt